

Hiring, Promotion, Pay-Setting, And Firm-Side Gender Gaps

Gender Study — Week 4

Teaching deck draft

Central question

- How do firms and internal labor markets produce gender differences in pay, promotion, authority, and retention?
- Firms are labor-market institutions: they allocate jobs, authority, rents, schedules, metrics, promotion chances, and wage premiums.
- Week 4 discipline: separate worker sorting from within-firm behavior and pay-setting rules.

Week 3 to Week 4 bridge

- Week 3: education, aspirations, skills, and early occupations shape who reaches which firms and career tracks.
- Week 4: once workers arrive, firms screen, supervise, evaluate, pay, promote, and retain.
- The same initial sorting can lead to different careers under different managers, tasks, pay rules, and promotion systems.

Three firm-side channels

Channel		Core object
Sorting into firms and jobs		exposure to high-premium firms, ladders, teams, schedules, conditions
Within-firm processes	personnel	hiring, referrals, supervision, evaluation, task allocation, promotion, networks
Pay-setting and bargaining	bargain-	wage premiums, salary requests, negotiation, transparency, pay bands, compliance

$$G_Y = \Delta_Y^{sort} + \Delta_Y^{personnel} + \Delta_Y^{pay} + \Delta_Y^{retention} + \Delta_Y^{interaction}$$

- Y : wages, earnings, authority, promotion, hours, job quality, or retention.
- Sorting is location in firms and jobs; personnel is treatment after entry.
- Pay-setting and retention can reinforce both sorting and promotion.

Sorting is not firm behavior

- Workers may enter different employers, establishments, teams, schedules, occupations, and ladders.
- High-premium firms can differ in rents, promotion chances, flexibility, safety, and authority.
- A between-firm gap does not by itself prove within-firm differential treatment.
- Matched employer-employee data help separate firm exposure from within-firm pay.

$$H_{ij} = \mathbf{1}\{S_{ij}(X_i, A_i, G_i, R_i) \geq c_j\}$$

- Hiring designs change what the screen observes or compare otherwise similar applications.
- Blind-screen and audit designs are clean for entry-stage advancement.
- The observed margin is callback, advancement, interview, hire, or starting job quality.
- Do not turn a hiring estimate into a promotion or retention estimate.

Blind auditions as an entry design

- The classic object is a procedural change in screening.
- Identifying variation: blind versus nonblind audition conditions.
- Observed margin: advancement and hiring at entry.
- The economic lesson: information design can change who passes the screen.

Promotion and authority pipeline

$$P_{i,t+1} = f(P_{it}, Q_{it}, M_{it}, N_{it}, T_{it}, E_{it})$$

- Q_{it} : measured performance.
- M_{it}, N_{it} : manager access, mentoring, sponsorship, network capital.
- T_{it} : tasks that create visibility or promotable output.
- E_{it} : evaluation and potential ratings.

Potential ratings and leadership ladders

- Firms promote on expected future leadership, not only current output.
- Subjective potential can encode information, bias, risk assessment, or retention strategy.
- Personnel records matter because they can observe performance, ratings, levels, and promotions together.
- The margin is authority allocation, not just wage growth.

Networks, mentoring, and old-boy channels

- Internal careers often depend on social access to managers and sponsors.
- Informal interaction can affect information, visibility, advocacy, and nominations.
- Strong designs use manager rotation, reassignment, overlap, or shift timing.
- Survey-linked administrative data can observe hidden channels and personnel outcomes.

Task allocation and low-promotability work

- Firms allocate tasks as well as wages.
- Some tasks build revenue, visibility, skill, client access, or authority.
- Low-promotability tasks are necessary but weakly rewarded.
- If women receive or accept more of these tasks, promotion gaps can grow even when formal pay rules look neutral.

Firm-specific pay premiums

$$w_{ijt} = \alpha_i + \psi_j + X'_{it}\beta + \theta_j Female_i + \varepsilon_{ijt}$$

- ψ_j : firm wage premium.
- Sorting channel: who works at high- ψ_j firms?
- Within-firm channel: does the firm share rents differently?
- Matched employer-employee decompositions are strong for this separation.

Bargaining and pay-setting

- Firms choose whether wages come from posted ranges, salary histories, requests, negotiation, pay bands, or manager discretion.
- Salary requests and outside offers can become pay-setting inputs.
- The same request gap can matter more in firms with more discretionary wage-setting.
- Ask which rule transformed information into pay.

Transparency and equal-pay frontier

- Pay transparency changes information available to workers, managers, and regulators.
- Equal-pay rules target comparable jobs and internal pay consistency.
- Firm responses can include wage compression, raises, job reclassification, changed posting behavior, or changed sorting.
- Policy evidence must name the treated unit, comparison group, and margin moved.

Retention and workplace conditions

- Exit is a firm-side margin when workplace conditions affect who stays.
- Harassment, weak protection, unpredictable schedules, exclusion, and poor supervision can change the cost of remaining.
- Administrative quits can hide job-quality losses and selection out of high-wage paths.
- Retention connects firm-side inequality to safety and mobility later in the course.

Designs and margins

Design	Identifying variation	Observed margin
Audit / blind screen	identity signal or procedure	callback, advancement, hire
Personnel records	ratings, levels, performance	promotion, authority, pay growth
Manager assignment	rotation, overlap, reassignment	mentoring, visibility, promotion
Matched employer-employee	mobility and firm premiums	sorting, rent sharing, pay gap
Firm policy reform	treated vs untreated exposure	transparency, compression, retention
Survey-linked admin	measured hidden channels	networks, climate, mentoring, exit

- Reproduce: synthetic manager-access and promotion exercise inspired by Cullen and Perez-Truglia.
- Diagnose: sort each output into sorting, personnel, pay-setting, or retention.
- Transfer: synthetic blind-screening exercise inspired by Goldin and Rouse.
- Optional frontier prompt: pay transparency or subjective potential ratings.

Bridge to Weeks 5 and 6

- Week 5: norms and bargaining operate through self-promotion, social access, negotiation, authority, and perceived commitment.
- Week 6: policies move margins such as pay rules, disclosure, compliance, leave, quotas, protection, and retention.
- The question becomes: which firm margin moved, for whom, and at what cost?

- Firms are active allocators of pay, authority, tasks, schedules, and career opportunities.
- Separate sorting into firms from within-firm treatment and firm pay-setting.
- Hiring, promotion, task allocation, pay, transparency, and retention require different evidence.
- Strong empirical work names the identifying variation and the margin observed.